13. Income Tax

The provision (benefit) for income taxes consists of the following:

	For the years ended December 31,		
	2004	2003	2002
Income Tax Expense (Benefit)			
Current — U.S. Federal	$ (24)	$ (120)	$ 136
International	5	5	3
Total current	**$ (19)**	**$ (115)**	**$ 139**
Deferred — U.S. Federal	$ 404	$ (344)	$ (70)
International	—	—	(1)
Total deferred	**$ 404**	**$ (344)**	**$ (71)**
Total income tax expense (benefit)	**$ 385**	**$ (459)**	**$ 68**

Table of Contents

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS (continued)

13. Income Tax (continued)

Deferred tax assets (liabilities) include the following as of December 31:

	2004	2003
Deferred Tax Assets		
Tax discount on loss reserves	$ 678	$ 696
Tax basis deferred policy acquisition costs and reserves	648	678
Unearned premium reserve and other underwriting related reserves	440	400
Investment-related items	—	25
Employee benefits	294	293
Minimum tax credit	342	253
NOL carryover	791	942
Other	128	139
Total Deferred Tax Assets	**3,321**	**3,426**
Deferred Tax Liabilities		
Financial statement deferred policy acquisition costs and reserves	(1,409)	(1,305)
Investment-related items	(114)	—
Net unrealized gain on investments	(1,207)	(1,121)
Other depreciable & amortizable assets	(115)	(88)
Other	(57)	(67)
Total Deferred Tax Liabilities	**(2,902)**	**(2,581)**
Total	**$ 419**	**$ 845**

In management's judgment, the net deferred tax asset will more likely than not be realized as reductions of future taxes paid. Accordingly, no valuation allowance has been recorded. Included in the deferred tax asset is the expected tax benefit attributable to net operating losses of $2.3 billion, consisting of U.S. losses of $1.8 billion, which expire in 2023, and foreign losses of $0.5 billion, which expire from 2006-2012.

Prior to the Tax Reform Act of 1984, the Life Insurance Company Income Tax Act of 1959 permitted the deferral from taxation of a portion of statutory income under certain circumstances. In these situations, the deferred income was accumulated in a "Policyholders' Surplus Account" and would be taxable only under conditions which management considered to be remote; therefore, no federal income taxes have been provided on the balance in this account, which for tax return purposes was $104 as of

December 31, 2004. The American Jobs Creation Act of 2004, which was enacted in October 2004, allows distributions to be made from the Policyholders' Surplus Account free of tax in 2005 and 2006. The Company anticipates, based on currently available information, that it will distribute the entire balance in the account, thereby permanently eliminating the potential tax of $37.

A reconciliation of the tax provision at the U.S. Federal statutory rate to the provision for income taxes is as follows:

	For the years ended December 31,		
	2004	2003	2002
Tax provision at U.S. Federal statutory rate	$ 883	$ (193)	$ 374
Tax-exempt interest	(145)	(151)	(155)
Dividends received deduction	(136)	(92)	(70)
Sale of international subsidiaries	—	—	(8)
Internal Revenue Service audit settlement (see Note 12)	(216)	—	(77)
Tax adjustment – HLI (see Note 12)	—	(30)	—
Other	(1)	7	4
Provision (benefit) for income tax	**$ 385**	**$ (459)**	**$ 68**

Tax Matters

The Company's federal income tax returns are routinely audited by the Internal Revenue Service ("IRS). During the third quarter of 2004, the IRS completed its examination of the 1998-2001 tax years, and the IRS and the Company agreed upon all adjustments. As a result, during the third quarter of 2004 the Company booked a $216 tax benefit to reflect the impact of the audit settlement on tax years covered by the examination as well as all other tax years prior to 2004. The benefit relates primarily to the separate account DRD and interest. During the fourth quarter of 2004, the IRS issued a Revenue Agent's Report, reflecting the adjustments computed and agreed upon in the prior quarter with respect to the Company's federal taxes for the years under examination. No additional tax adjustments were recorded, as the results reflected in the Report were included in the tax benefit recorded in the third quarter. The IRS is expected to begin its audit of the 2002-2004 tax years in 2005. Management believes that adequate provision has been made in the financial statements for any potential assessments that may result from future tax examinations and other tax-related matters for all open tax years.